By that time the pundits had changed their tune. Well, maybe the old signal isn't valid anymore, after all. Now the argument runs: "Investors currently want appreciation more than income, so companies are using their earnings to expand operations or buy back stock, and dividend payouts are going to stay low from now on." (No one has challenged this reasoning, though stocks are increasingly owned by tax-exempt holders who are happy to get dividends, and less by individuals who have to pay taxes on them.) As Wharton professor Jeremy Siegel wrote in his book *Stocks for the Long Run*, "Any yardstick for stock valuation, even one with a sound theoretical basis or one that has worked for more than a century, can stop working."

Even the timers with the best records have added no return to a buy-and-hold policy. They can claim only that since they are often in cash, they've lowered portfolio volatility.

Meanwhile, a good number of portfolio managers, observing the low dividend yield and other negative signs, moved heavily into bonds and cash, and their performance suffered, in some cases for several years. (One celebrity casualty of the urge to time: Jeff Vinik, late of the Fidelity Magellan fund, who in late 1995 and early 1996 shifted a good part of his portfolio from stocks into bonds, expecting the former to correct and the latter to rally. Wrong on both counts, he was soon no longer employed by Fidelity.) Eventually the Cassandras will prove right—bear markets have not been repealed—but it is very doubtful that the timers will be any better off at the end of the day than if they had just stayed in the stocks of companies they liked. Even the timers with the best records concede that they have added no return to a buy-and-hold policy; their